liability. The risk we all have is not accumulating enough assets to cover this liability. It makes sense to know what that amount is so that we can work toward it, or at least make a calculated guess.

The amount of money you will need is not the amount that makes you “feel” secure; it is the amount you actually do need to pay your bills and enjoy your life. All too often, people will overestimate the amount of money they believe will make them financially secure, and, consequently, they may take on too much investment risk. This could lead to an adverse outcome should the amount of risk be above a person’s tolerance to take risk, because it could result in the wrong decisions during difficult market conditions.

Figuring out how much you need in order to be financially secure is not difficult. The amount is based on a combination of factors, including your age, health, spending habits, lifestyle decisions, taxes, pension income, Social Security benefits, investment income, and other items. It sounds like a lot of work, but you need to do the detailed analysis only once. Chapter 12 explains the calculations in more detail.

VOLATILITY AS RISK

Losing money is one definition of risk. Not matching future needs is another. Both these financial risks can be controlled once you have a clear understanding of where they originate. For that, a discussion of volatility is appropriate.

As mentioned earlier in this chapter, the up-and-down movement in the value of your investment is the definition of risk used by most academics and researchers. Volatility can be measured using any interval of time—minutes, days, weeks, months, or years. For decades, monthly volatility was most noticeable to individual investors. This is because we received monthly statements from our brokerage firms and see firsthand the actual gains and losses in the account.

For better or worse, people today are checking their accounts balances more. We all have instant access through the Internet, and we can even get updates over our personal digital assistants (PDAs) and cell phones. I do not believe this is a good thing because it makes people too short-sighted. But people are going to do it anyway. Heck, I do it. Unfortunately, the more